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9
10 **BEFORE THE INSURANCE COMMISSIONER**
11 **OF THE STATE OF CALIFORNIA**

12 In the Matter of the Rule Application of
13 CSAA Insurance Exchange,
14 Applicant.

File No.: PA-2024-00001
SETTLEMENT STIPULATION

15
16 CSAA Insurance Exchange (“Applicant”), Consumer Watchdog and the California
17 Department of Insurance (“Department”) (collectively, the “Parties”) stipulate as follows:

18 **RECITALS**

- 19 A. The Applicant is licensed by the Department to conduct insurance business in
20 California.
- 21 B. On or about April 12, 2023, Applicant filed a rule application to implement
22 mitigation credits pursuant to Title 10 of the California Code of Regulations section 2644.9 (File
23 No. 23-3429) [“First Application”].
- 24 C. On or about April 21, 2023, the Department notified the public of the Application.
- 25 D. On or about June 5, 2023, Consumer Watchdog filed a timely Petition to
26 Intervene, Petition for Hearing, and Notice of Intent to Seek Compensation.
- 27 E. On or about June 9, 2023, Applicant filed an Answer to Consumer Watchdog’s
28 Petition to Intervene *et al.*

1 F. On or about June 20, 2023, the Commissioner granted Consume Watchdog's
2 Petition to Intervene.

3 G. The Department and Consumer Watchdog engaged in discussions with Applicant
4 regarding defects in the First Application. Specifically, Applicant had not complied with the
5 mandate that the filing be *revenue neutral* and *limited exclusively to implementing the required*
6 *mitigation credits* as set forth in the Commissioner's Bulletin 2023-2, as Applicant sought to
7 introduce a new wildfire scoring model in the same filing.¹

8 H. On or about November 30, 2023, Applicant filed a revenue neutral mitigation
9 filing as required by Bulletin 2023-2 (the "Second Application") that removed the new scoring
10 model.²

11 I. On or about November 30, 2023, Applicant withdrew the First Application.

12 J. On or about December 5, 2023, the Commissioner denied Consumer Watchdog's
13 Petition for Hearing on the First Application as moot.

14 K. On or about December 15, 2023, the Department notified the public of the Second
15 Application.

16 L. On or about January 29, 2024, Consumer Watchdog submitted a timely Petition to
17 Intervene, Petition for Hearing, and Notice of Intent to Seek Compensation.

18 M. On or about February 5, 2024, Applicant filed an Answer to Consumer
19 Watchdog's Petition to Intervene *et al.*

20 N. On or about February 13, 2024, the Commissioner partially granted Consumer
21 Watchdog's Petition to Intervene with Leave to Amend.

22 O. On March 5, 2024, Consumer Watchdog filed an Amended Petition to Intervene *et*
23 *al.*

24 P. On March 20, 2024, the Commissioner granted Consumer Watchdog's Amended
25 Petition to Intervene only. The Commissioner did not rule on Consumer Watchdog's Petition for
26 Hearing.

27 ¹ <https://www.insurance.ca.gov/0250-insurers/0300-insurers/0200-bulletins/bulletin-notices-commiss-opinion/upload/Bulletin-2023-2.pdf>

28 ² Applicant subsequently filed a separate application (PA-2024-00002/23-3470) to implement the new scoring model and make other changes to its wildfire rating plan. This stipulation does not approve or make any findings with respect to PA-2024-00002.

1 Q. The Parties have engaged in discussions regarding the Application and additional
2 information and analysis that the Parties provided.

3 R. As a result of the Parties' discussions and negotiations, Applicant has updated its
4 Second Application, including updated mitigation discount disclosure forms.

5 **STIPULATION**

6 1. This Stipulation, together with the updated Second Application, amended in
7 accordance with this Stipulation, and the Commissioner's approval of the Second Application in
8 SERFF, represents the complete and final settlement resolving all issues between the Parties
9 regarding the Second Application.

10 2. Based upon the Second Application and additional information that the Parties
11 provided, the Parties agree and find based on their respective actuarial analyses that the Second
12 Application should be approved and the mitigation credits contained therein shall be offered to
13 Applicant's policyholders.

14 3. Consistent with 10 CCR sections 2656.1(b) and 2662.3(c), no agreement regarding
15 Petitioner's compensation has been made. However, the Parties agree that the Commissioner's
16 approval of the Second Application, consistent with this Stipulation, will be a decision or order
17 within the meaning of CIC section 1861.10(b). Petitioner agrees to submit any request for
18 compensation to the Public Advisor within 30 days after notice of the Commissioner's approval
19 in SERFF.

20 4. Petitioner agrees to withdraw its Petition for Hearing, effective as of the date of
21 execution of this Stipulation, within 10 days after notice of the Commissioner's approval in
22 SERFF, provided the Second Application is approved by the Commissioner in SERFF in
23 accordance with paragraph 2.

1 5. This Stipulation is made solely to reach a compromise among the Parties. The
2 Commissioner's approval of the Second Application shall not constitute approval of or precedent
3 regarding any principle or any issue in any other proceeding.

4 6. This Stipulation does not constitute an endorsement or approval of models
5 generally, or any specific model, eligibility, or nonrenewal criteria or rating methodology.
6

7 7. The Commissioner retains jurisdiction to ensure that the Parties comply with this
8 Stipulation.

9 8. Nothing contained in this Settlement Stipulation constitutes a limitation upon, or a
10 waiver of, the rights and powers of the Commissioner to enforce any California law, to examine
11 the rating practices of the Applicant or to take such other action as necessary to protect the public.
12

13 9. This Stipulation may be executed in counterparts.

14 Dated: June _6th_, 2025

CSAA Insurance Exchange

15 By 
16 Carrie Collins
17 VP Regulatory and Corporate Affairs, CSAA IE

18
19 Dated: June ___, 2025

CONSUMER WATCHDOG

20 By _____
21 Ryan Mellino
22 Attorneys for Consumer Watchdog

23
24 Dated: June ___, 2025

CALIFORNIA DEPARTMENT OF INSURANCE

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22 *Attorneys for Consumer Watchdog*
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CALIFORNIA DEPARTMENT OF INSURANCE

25 By *Daniel Wade*
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27 *Attorneys for the California Department*
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